

THE WHITE HOUSE

WASHINGTON

INTELLIGENCE MEMORANDUM

DATE: February 2nd, 2026

FROM: Megan Fife

SOURCES:

https://ec.europa.eu/commission/presscorner/detail/en/ip_26_184

<https://www.aljazeera.com/economy/2026/1/27/mother-of-all-deals-how-india-eu-trade-deal-creates-27-trillion-market>

TOPIC: EU and India Free Trade Agreement

ISSUE: The European Union (EU) and India have signed a free trade agreement, lowering tariffs on imports and exports of both countries, effectively combining 2 billion people making a \$27 trillion market which accounts for about 25% of the global GDP.

BACKGROUND: The U.S. is the largest trading partner for EU and Indian markets yet, trade goods between the EU and India have increased \$62 billion over the past 4 or 5 years which now makes the EU India's largest goods trader. Recently, Trump has placed 25% tariffs on India for buying Russian oil and funding the Ukraine War and the EU is currently under 15% tariffs from a trade deal signed last year. Ursula von der Leyen, President of the European Commission, stated that this trade deal signifies that, "rules-based cooperation still delivers great outcomes." India's foreign vehicle tariffs would decrease from 110% to 30-35% on EU cars, eventually becoming 10% over time. Alcohol tariffs would decrease by 100% to 130%. The EU will save \$4.74 billion through the reduction or elimination of 96.6% of EU export tariffs, and the EU will get rid of 90% of tariffs on Indian products now and 93% within 7 years. This agreement has been in conversation since 2007, suspended in 2013 due to India's automobile protectionist stance and resumed in 2022. Additionally, the EU will have access to the India services market, and the deal includes a consensus of rules for Intellectual Property rights making it easier to trade. Final draft of the agreement has yet to be put forth to the EU Council, signed by both parties, given consent by the EU's Parliament and again by the Council, and ratified by India.

ANALYSIS: The expediency of this agreement came about due to the bonding of India and the EU over U.S. tariffs and the general instability of President Trump trying to take over Greenland run by Denmark, an EU member. Convergence of a market this size threatens U.S. national security as we are alienating ourselves from being seen as a stable,

democratic, trading, global power. The EU and India have made it clear that their goals are to create stability and that following U.S. priorities is not in their best interests anymore.